

Introduction to Contemporary Economic Issues in Canada and Globally

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Course Overview

- This course examines key economic challenges and opportunities in Canada and the global economy.
- Topics include globalization, inequality, technological change, climate economics, and post-pandemic recovery.
- The course integrates theory, empirical analysis, and policy discussions.

Why Study Contemporary Economics?

- Understand the forces shaping modern economies.
- Analyze economic policies affecting society, businesses, and individuals.
- Address pressing global and national challenges, such as climate change and inequality.
- Develop critical thinking and data analysis skills applicable in policymaking and industry.

Key Themes of the Course

- **Globalization and Trade:** Impact on Canada and global economies.
- **Income Inequality:** Trends, causes, and policy responses.
- **Climate Change Economics:** Balancing growth with sustainability.
- **Technological Disruption:** Automation, AI, and labor markets.
- **Post-Pandemic Economic Recovery:** Fiscal and monetary challenges.

Globalization and Trade

- **Definition:** The increasing integration of economies through trade, investment, and technology.
- **Impacts on Canada:**
 - Opportunities for export-driven growth (e.g., natural resources, technology).
 - Challenges: Competition from low-cost producers and trade disputes.
- **Global Perspective:**
 - Rising protectionism (e.g., tariffs, trade wars).
 - Role of international institutions like WTO, IMF.

Income Inequality

- **Trends:** Growing disparities in income and wealth globally and in Canada.
- **Causes:**
 - Technological changes favoring skilled labor.
 - Globalization and outsourcing.
 - Declining unionization and policy shifts.
- **Policy Responses:**
 - Progressive taxation and social welfare programs.
 - Education and workforce development.

Climate Change Economics

- **Global Challenge:** Reducing emissions while supporting economic growth.
- **Canada's Role:**
 - Transition to renewable energy.
 - Policies: Carbon pricing, green technology investments.
- **Economic Opportunities:**
 - Job creation in renewable sectors.
 - Leading global innovation in sustainable technologies.

Technological Disruption

- **Automation and AI:**
 - Potential for increased productivity.
 - Risks of job displacement in traditional industries.
- **Implications for Policy:**
 - Need for reskilling and education programs.
 - Balancing innovation with ethical considerations.
- **Global Competition:** Role of tech giants and innovation hubs.

Post-Pandemic Economic Recovery

- **Challenges:**

- High inflation and debt levels.
- Supply chain disruptions.

- **Opportunities:**

- Investment in healthcare and technology.
- Rethinking global supply chains.

- **Policy Responses:**

- Monetary policy: Interest rates, quantitative easing.
- Fiscal policy: Stimulus packages and infrastructure investments.

Discussion Questions

- How has globalization impacted Canada's economy? Provide examples.
- What are the primary drivers of income inequality in Canada and globally?
- How can Canada balance economic growth with environmental sustainability?

Critical Thinking Questions

- Can Canada remain competitive in a rapidly changing global economy? Why or why not?
- To what extent should Canada rely on natural resources for economic growth?
- What role does technology play in shaping future economic policies?

Critical Thinking Questions and Answers

Question 1: Can Canada remain competitive in a rapidly changing global economy? Why or why not?

Answer:

- **Strengths:**

- Abundance of natural resources (e.g., oil, natural gas, minerals).
- Skilled and well-educated workforce.
- Stable political and financial systems attracting foreign investment.

- **Challenges:**

- Global competition from emerging economies like China and India.
- Rapid technological disruption requiring adaptation.
- Need for environmental sustainability and reduced reliance on fossil fuels.

Critical Thinking Questions and Answers

Question 1: Can Canada remain competitive in a rapidly changing global economy? Why or why not?

Answer:

- **Policy Recommendations:**

- Invest in renewable energy and green technologies.
- Encourage innovation and R&D in AI, biotechnology, and advanced manufacturing.
- Strengthen trade relationships and diversify exports.

Critical Thinking Questions and Answers (cont'd)

Question 2: To what extent should Canada rely on natural resources for economic growth?

Critical Thinking Questions and Answers (cont'd)

Question 2: To what extent should Canada rely on natural resources for economic growth? Answer:

- **Short-term reliance:**

- Natural resources drive economic stability, providing export revenues and jobs.

- **Long-term risks:**

- Vulnerability to global commodity price fluctuations.
- Environmental concerns and global climate policy pressures.

- **Path Forward:**

- Transition from resource-based growth to knowledge-based industries like technology and services.
- Invest in renewable energy and clean technologies.
- Support resource-dependent regions with diversification and reskilling policies.

Critical Thinking Questions and Answers (cont'd)

Question 3: What role does technology play in shaping future economic policies?

Critical Thinking Questions and Answers (cont'd)

Question 3: What role does technology play in shaping future economic policies? Answer:

- **Opportunities:**

- Increases productivity through automation and AI.
- Creates new industries (e.g., green technology, fintech, and biotech).
- Enhances global connectivity for Canadian businesses.

- **Challenges:**

- Job displacement in low-skilled industries.
- Regulation of technology, addressing concerns like privacy and cybersecurity.
- Bridging the digital divide for equitable access to technology.

Critical Thinking Questions and Answers (cont'd)

Question 3: What role does technology play in shaping future economic policies?

Critical Thinking Questions and Answers (cont'd)

Question 3: What role does technology play in shaping future economic policies? Answer:

- **Policy Recommendations:**

- Invest in digital infrastructure and rural connectivity.
- Implement workforce reskilling programs to prepare workers for tech-driven industries.
- Collaborate with tech companies to regulate innovation ethically and sustainably.